Risk Parity Portfolio: Stress Analysis

Analysis results for the 10-year window as of 2026-05-08

Executive Summary

Risk Parity Portfolio was reviewed on the latest available reporting window. CAGR is 7.60%, annualized volatility is 7.50%, maximum drawdown is -18.90%, Sharpe is 0.720, Sortino is 1.007, and market sensitivity is 0.268. Stress diagnostics show: Passed with diagnostic warning; worst scenario loss is -13.14%.

Key Metrics

7.60% CAGR	**7.50%** Volatility	**-18.90%** Max Drawdown
0.720 Sharpe	**1.007** Sortino	**0.268** Market Sensitivity

What This Means

The portfolio profile should be read as a trade-off between return, realized drawdown, and market sensitivity. CAGR measures compound annual growth, volatility measures annualized variability, and maximum drawdown captures the largest peak-to-trough loss in the reporting window. Sharpe and Sortino summarize risk-adjusted return, while market sensitivity indicates how strongly the portfolio moves with the broad benchmark.

Risk Structure

Stress status: Passed with diagnostic warning. Worst scenario loss: -13.14%. Flagged scenario: N/A; flagged test: N/A. These diagnostics are used to identify risk concentrations and scenario vulnerability; they do not by themselves replace the mandate checks.

Scenario Analysis

Scenario	PnL	Pass	Top RC Asset	Top 3 RC
equity_shock	-10.60%	True	GLD	45.48%
credit_shock	-1.79%	True	TLT	40.65%

Scenario	PnL	Pass	Top RC Asset	Top 3 RC
rates_shock	-10.24%	True	TLT	48.95%
inflation_stagflation	-7.71%	True	GLD	47.33%
liquidity_shock	-5.98%	True	SCHD	44.09%
recession_severe	-13.14%	True	SCHD	43.43%

Conclusion

This English PDF was generated from the current structured portfolio outputs. Use the metrics, stress status, and scenario table together: the headline return profile is only meaningful when read alongside drawdown resilience and scenario behavior.